easyJet

FY2025 (Oct 2024 to Sep 2025) · Low-cost airline · reporting currency GBP · peer group: Low-cost airlines

Ratings: awaiting review

Credit tearsheet
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Analyst: Imane

SNAPSHOT

easyJet, the UK low-cost carrier, grew revenue by **8.6%** to **GBP 10.1bn** in FY2025 while holding its EBITDA margin broadly unchanged at **14.2%**.

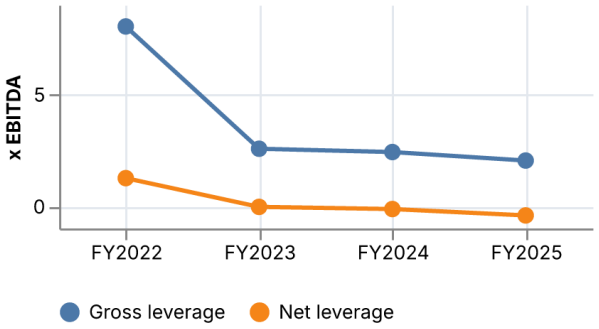
The balance sheet strengthened: net leverage fell by **0.29x** to **-0.42x**, a net cash position, as total debt was reduced by **10.8%**.

The point to watch is liquidity: cash liquidity to revenue fell by **2.3 points** to **34.9%**, and the EBITDA margin of **14.2%** is the weakest of the low-cost peers (**3rd of 3**).

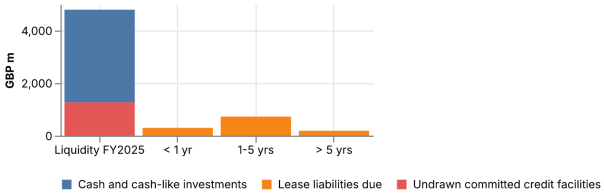
KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	GBP 5.8bn	GBP 8.2bn	GBP 9.3bn	GBP 10.1bn
EBITDA	GBP 537m	GBP 1.1bn	GBP 1.4bn	GBP 1.4bn
EBITDA margin	9.3%	13.8%	14.6%	14.2%
Total debt	GBP 4.3bn	GBP 2.9bn	GBP 3.3bn	GBP 2.9bn
Net debt	GBP 670m	GBP −41.0m	GBP −181m	GBP −602m
Net leverage	1.25x	−0.04x	−0.13x	−0.42x
Gross leverage	8.03x	2.56x	2.41x	2.03x
Interest coverage	3.76x	6.26x	10.30x	9.22x
FFO to debt	9.4%	33.0%	38.1%	44.0%
Free cash flow	GBP 246m	GBP 797m	GBP 536m	GBP 624m
FCF to debt	5.7%	27.6%	16.3%	21.3%
FCF after leases	GBP 127m	GBP 655m	GBP 437m	GBP 402m
Capex intensity	9.2%	9.2%	10.0%	9.9%
Liquidity	GBP 4.7bn	GBP 4.7bn	*pending*	GBP 4.8bn
Liquidity to revenue	82.2%	57.8%	*pending*	47.4%
Short-term debt cover	6.93x	7.27x	*pending*	18.65x

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA rose by **5.9%** to **GBP 1.4bn** on revenue up **8.6%**, and operating profit increased by **18.2%** to **GBP 696m** as depreciation fell by **3.5%**.

Total debt was cut by **10.8%** to **GBP 2.9bn**, taking gross leverage down by **0.38x** to **2.03x** and leaving net cash of **GBP 602m** against **GBP 181m** in FY2024.

Cash generation improved: FFO rose by **3.0%** to **GBP 1.3bn**, lifting FFO to debt by **5.9 points** to **44.0%**, and free cash flow rose by **16.4%** to **GBP 624m** despite capex up **7.8%** to **GBP 1.0bn**.

Interest coverage eased by **1.08x** to **9.22x** as finance costs rose by **18.2%** to **GBP 156m**, with airline net financing charges up on lower interest income on cash and higher charges on borrowings.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).
EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.
EBITDA margin: EBITDA ÷ revenue.
Total debt: Borrowings + lease liabilities, current and non-current.
Net debt: Total debt − cash and cash-like investments. Negative means net cash.
Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.
Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.
Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.
FFO to debt: FFO ÷ total debt.
Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).
FCF to debt: Free cash flow ÷ total debt.
FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.
Capex intensity: Purchases of PP&E and intangibles ÷ revenue.
Liquidity: Cash + cash-like investments + undrawn committed facilities.
Liquidity to revenue: Liquidity ÷ revenue.
Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	69.7m	82.8m	89.7m	93.4m
ASK	97.3bn	113.3bn	122.9bn	134.5bn
Load factor	87.2%	90.9%	90.8%	90.8%
RASK (pence)	5.93	7.21	7.58	7.52
CASK (pence)	5.96	6.81	7.10	7.00
Fuel share of costs	22.1%	26.3%	25.5%	23.9%
Advance ticket cover	28.6%	51.2%	50.2%	55.1%

Capacity grew by **9.4%** to **134.5bn** available seat kilometres and traffic by **9.3%** to **122.0bn** revenue passenger kilometres, with passengers up **4.1%** to **93.4m**.

CASK fell by **1.4%** to **7.00 pence** while CASK ex-fuel was stable at **5.32 pence**, and fuel cost was broadly unchanged at **GBP 2.3bn**, taking the fuel share of costs down by **1.6 points** to **23.9%**.

The fleet rose by **2.6%** to **356** aircraft, with an average age of **10.9 years** after the purchase of aircraft previously held on lease.

PEERS: LOW-COST AIRLINES, PEER YEAR 2025

	easyJet	Norwegian	Wizz Air	Median
EBITDA margin	**14.2%** (3)	21.2% (2)	23.2% (1)	21.2%
Net leverage	**−0.42x** (1)	1.19x (2)	3.79x (3)	1.19x
Gross leverage	**2.03x** (1)	2.46x (2)	5.28x (3)	2.46x
Interest coverage	**9.22x** (1)	6.27x (2)	5.39x (3)	6.27x
FFO to debt	**44.0%** (1)	35.4% (2)	15.2% (3)	35.4%
FCF to debt	**21.3%** (1)	14.6% (2)	11.1% (3)	14.6%
Capex intensity	**9.9%**	13.2%	7.2%	9.9%
Cash liquidity to revenue (partial)	**34.9%** (1)	26.7% (3)	34.3% (2)	34.3%
Liquidity to revenue	**47.4%** (1)	*n.a.*	*n.a.*	47.4%
Advance ticket cover	**55.1%** (2)	43.7% (1)	60.5% (3)	55.1%
Fuel share of costs	**23.9%**	28.2%	31.8%	28.2%
Load factor	**90.8%** (2)	*n.a.*	90.8% (1)	90.8%
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

easyJet has the lowest net leverage of the low-cost group (**1st of 3**), at **-0.42x** against a peer median of **1.19x**, and also leads on gross leverage (**1st of 3**), interest coverage (**1st of 3**), FFO to debt (**1st of 3**) and FCF to debt (**1st of 3**).

The weakest point is profitability: the EBITDA margin of **14.2%** is the lowest of the group (**3rd of 3**) against a peer median of **21.2%**.

Capex intensity sits in the middle of the group at **9.9%**, advance ticket cover is in the middle of the group at **55.1%**, and cash liquidity to revenue is the highest of the group (**1st of 3**).

LIQUIDITY AND FUNDING

Cash and cash-like investments were broadly unchanged at **GBP 3.5bn**, and with **GBP 1.3bn** of undrawn committed facilities liquidity reached **GBP 4.8bn**, or **47.4%** of revenue.

Debt due within one year fell by **60.0%** to **GBP 257m**, covered **18.65x** by liquidity, so the near-term maturities are met without new funding.

Free cash flow after lease payments, the comparable measure of cash left for debt holders, fell by **8.0%** to **GBP 402m**, with net capex up **23.7%** to **GBP 997m**, and FCF after leases to debt was stable at **13.7%**.

Customer prepayments rose, with contract liabilities up **12.0%** to **GBP 1.9bn** and advance ticket cover up **4.9 points** to **55.1%**, so a larger share of the cash balance is refundable if bookings slow.

WATCH ITEMS

- Cash flow after leases: FCF after leases fell by **8.0%** to **GBP 402m** as net capex rose by **23.7%** to **GBP 997m**, leaving FCF after leases to debt at **13.7%**.
- Liquidity: cash liquidity to revenue fell by **2.3 points** to **34.9%**, and cash and cash-like investments were broadly unchanged at **GBP 3.5bn** while debt due within one year fell by **60.0%** to **GBP 257m**.
- Customer prepayments: advance ticket cover rose by **4.9 points** to **55.1%**, above the prior year, so refunds on a slower booking environment would absorb more of the cash position.
- Profitability: the EBITDA margin of **14.2%** is the lowest of the low-cost group (**3rd of 3**) against a peer median of **21.2%**, and passenger yield fell by **2.8%** to **4.98 pence**.

ANALYST VIEW

The strongest balance sheet among the low-cost peers: net cash of GBP 602m, gross leverage of 2.03x and FFO to debt of 44.0%, all first in the group. Free cash flow of GBP 624m covers 21.3% of debt, and liquidity of GBP 4.8bn (47.4% of revenue) includes the new GBP 1.3bn undrawn revolving facility. Moody's and S&P investment grade ratings were affirmed, with stable outlooks.
Profitability is the constraint: the EBITDA margin of 14.2% is the lowest of the group, against a median of 21.2%, and unit revenue (7.52 pence) runs only slightly ahead of unit cost (7.00 pence). Coverage slipped to 9.22x as financing costs rose.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.
ASK: Available seat kilometres.
Load factor: RPK ÷ ASK.
RASK: Revenue ÷ ASK.
CASK: (Revenue − operating profit) ÷ ASK.
Fuel share of costs: Fuel cost ÷ (revenue − operating profit).
Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).
Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.
Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.
pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.
n.a.: not available for that year.

Sources: FY2023 filing · FY2024 filing · FY2025 filing. Peers' filings and every fingerprint: Excel backup, Manifest sheet.
Manifest: 127 source figures from 10 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet 7fc933c28a1b; code d31583011aff; exported 2026-11-11 20:58 UTC.

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